states could also make grants to the Centre for any of the Union subjects—defence, currency, foreign policy—though no state had the fiscal resources or political authority to even consider it.

In a nutshell, though the intergovernmental fiscal relationship instituted by the Constitution in 1950 envisaged a perfect fiscal federation, the seeds of its being undermined were also sown therein.

First Two Decades: Constitutional Fiscal Federalism in Operation

In the 1950s, both the Centre and the states were ruled by the same political party. The states did not assert their independent fiscal sub-sovereign status. They were not required to do so either as the intergovernmental fiscal system operated in line with the constitutional scheme of things and practices of the pre-Independence period.

The constitutional provisions of fiscal federalism were put into practice faithfully. Finance Commissions were constituted at regular intervals and recommended division of central taxes; the President accepted these recommendations almost to a fault; and states got their share of central taxes fully and in time. The CAG audited the receipts of taxes and amounts transferred to states and certified independently whether these were in line with the recommendations of the Finance Commissions. If there was any shortfall, it was pointed out in the CAG reports and made good in time.

The Finance Commissions established their reputation as a fair arbiter between the states and Centre. The government also faithfully implemented the recommendations of the Finance Commissions.

Project-based loans and grants continued on the lines of pre-Independence practice, albeit at a higher scale as states took up a number of flood-control, irrigation, industrial and other developmental projects.

The Government of India decided to establish the Planning Commission in 1951 to make development plans for the Centre and the states.